INDIAN LAW & DEALMAKING · 22 OCTOBER 2026

Five moves shaping the board now.

- Supreme Court bounds ED power under PMLA
- SEBI unfreezes capital via early pay-in margin relief
- Madras High Court protects original patent revocation rights
- REC and PFC secure stock exchange approvals for mega-merger
- NCLAT revives Walchandnagar insolvency appeal against Swaraj India

SWIPE →

ENFORCEMENT · SUPREME COURT

Supreme Court reins in Enforcement Directorate state oversight

On 21 October 2026, the Supreme Court stayed a Kerala High Court directed police probe involving Pinarayi Vijayan and Exalogic. The Bench held that the Enforcement Directorate cannot dictate state police actions under Section 66(2) of the PMLA.

THE READ

Investigating agencies must operate strictly within statutory boundaries without encroaching on state police autonomy. PMLA sharing provisions do not grant federal officers supervisory jurisdiction over provincial investigations.

SECURITIES · SEBI

SEBI permits instant margin release on early pay-in

On 22 October 2026, SEBI issued a regulatory circular enabling clearing corporations to grant immediate margin relief on early pay-in instructions. The operational framework applies to subsequent trades executed on the same trading day.

THE READ

Secondary market participants gain immediate liquidity and reduced capital lock-up during intraday trading cycles. Brokerages can optimize working capital deployability without sacrificing post-trade risk management controls.

INTELLECTUAL PROPERTY · MADRAS HC

Madras High Court affirms original patent revocation standalone right

On 21 October 2026, the Madras High Court dismissed a review petition in Arunachalaa vs Sukumar regarding Patent Act procedures. The Court ruled that litigants possess an independent right to seek revocation without filing a counterclaim.

THE READ

District Court patent disputes face mandatory transfer to the High Court whenever independent revocation petitions are pending. Forum splitting is avoided, ensuring unified intellectual property adjudication.

M&A · RESTRUCTURING

REC and PFC obtain exchange nods for mega merger

On 21 October 2026, REC Limited and Power Finance Corporation Limited secured No Objection Letters from BSE and NSE. The approvals advance their composite scheme of arrangement toward NCLT and RBI filings.

THE READ

State-run power financing giants have cleared a key regulatory hurdle toward full operational consolidation. Transaction counsel should prepare for heightened NCLT scrutiny on public sector debt alignment.

INSOLVENCY · NCLAT

NCLAT restores Walchandnagar insolvency petition against Swaraj India

On 21 October 2026, the NCLAT Principal Bench revived the Section 7 appeal filed by Walchandnagar Industries against Swaraj India Agro. The ruling followed directions from the Supreme Court setting aside prior procedural dismissals.

THE READ

Procedural technicalities cannot override substantive evaluation of corporate insolvency claims. NCLT benches must evaluate financial default merits rather than dismissing appeals on preliminary hurdles.

THE THROUGH-LINE

Across enforcement, securities, intellectual property, corporate restructuring, and insolvency, Indian forums are enforcing statutory boundaries while streamlining procedural pathways. Regulatory clarity from SEBI and stock exchanges is accelerating market efficiency and deal execution. Simultaneously, judicial rulings from the Supreme Court, High Courts, and NCLAT emphasize strict adherence to jurisdictional limits and merits-based adjudication.

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